

most of the banks are well on their way to becoming information repositories under the AA framework. “The real big change will come when banks begin to actively use this data and leverage it to offer better products and services,” says Prasad of FIS.

CREDIT WITHIN REACH

As for payments, P2P (person-to-person) and P2M (person-to-merchant) are growing like never before thanks to UPI, which has significantly disrupted the space. UPI is linked to the customer’s savings or current account. The next big expansion of UPI is going to happen in the credit space, especially in semi-urban and rural areas. Last year, the RBI allowed the linking of the government-backed RuPay card with UPI, which opens up a host of opportunities, as this frees up the card from being used only at POS terminals—the massive UPI-based QR code network will now be available for RuPay credit card customers. This is important because the current infrastructure of POS machines is limited because of the high cost of installation and transaction costs. Though the government-backed card is not the most widely used method of payment, the UPI-RuPay credit card link has opened new credit expansion opportunities for banks. It is only a matter of time before global card networks like Visa and Mastercard join the bandwagon. India’s credit to GDP ratio is still very low at 52 per cent; it is 216 per cent for the US and 182 per cent for China. Thus, there is ample headroom for growth.

RBI Deputy Governor M. Rajeshwar Rao recently said that increasing adoption of digital modes, GSTN, online shopping, P2P payments, QR code deployment, and everything else together will generate reams of customer data. “This data could be



“CBS will become a repository of data. This will provide banks with flexibility and agility, as well as the ability to innovate to deliver services in shorter time frames”

SHALINI WARRIER
EXECUTIVE DIRECTOR,
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“Banks are testing the waters in terms of the metaverse, but eventually adoption of the metaverse will become an imperative for them to participate actively in the virtual world”

HARISH PRASAD
HEAD OF BANKING (INDIA), FIS



“The metaverse combines Web 3.0 (decentralised, trust, etc.), immersive experiences (AR/VR, 2D, 3D) and digital assets management (crypto, NFT, blockchain)”

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potentially used to chart customer needs, behaviour, and repayment capacity, and help in digital inclusion,” he said. Rao also highlighted that one specific area where digital lending has the potential to be a catalyst for economic growth is cash-flow based lending to MSMEs. MSMEs account for nearly 45 per cent of total exports and employ over 11.1 million people. “The provision of appropriate credit for MSMEs through seamless and digital cash-flow based lending will provide them with the much-needed impetus. It would enable lenders to leverage real time cash-flow data to reimagine the end-to-end lending process and the ‘sachetisation’ of products,” he said.

In addition, there is also a remittance market that is up for disruption. India receives more than \$80 billion in annual remittances and sends another \$20 billion overseas. The National Payments Corporation of India, the retail network provider that created UPI, is in talks with global regulators, network providers, banks and institutions to offer a cost-effective remittance platform. At the same time, blockchain technology is also finding its use in banking services where multiple parties are involved. This is in the area of imports and exports and trade finance. There are already over a dozen banks that have joined hands by forming a new company that will use blockchain technology for faster processing of inland letters of credit (LCs).

A decade ago, everybody was talking about how fintech would disrupt traditional banks. Today, the two are co-existing and partnering to offer the best solutions. But the last word is yet to be written. And, as a banker says with a chuckle, “*Picture toh abhi baaki hai* (The movie isn’t over yet).” BT

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